

Global Firms, Domestic Jobs

Public Support for Industrial Subsidies

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Abstract

Industrial policy has reemerged as a central instrument of economic statecraft, yet many firms seeking government support are deeply embedded in global markets. How do citizens evaluate subsidies for such firms? I develop a theory of public support for industrial subsidies centered on two considerations: the domestic economic contributions firms generate and their symbolic alignment with the national in-group. I test this theory using two preregistered survey experiments on a nationally representative sample of U.S. adults (N=4,000), employing a 2×2 between-subjects design that independently randomizes firm ownership alongside either workforce composition or supplier origin. Domestic workforce and supplier composition emerge as the strongest and most consistent predictors of subsidy support, while foreign ownership carries a smaller and less consistent penalty that operates primarily through perceived national alignment. These findings show that public support for industrial policy is not driven by foreign ownership alone: citizens distinguish between who owns a firm and how its economic activity is embedded in the domestic economy.

Introduction

In 2022, the state of Michigan pledged more than \$175 million in incentives to help Gotion Inc., the U.S. subsidiary of a Chinese battery manufacturer, build a battery component plant in rural Mecosta County. State officials justified the subsidy by emphasizing the thousands of manufacturing jobs and domestic supply-chain investments the project promised to create. Opponents instead argued that American taxpayer dollars should not support a Chinese-owned company, regardless of its economic benefits. The controversy illustrates a broader question confronting industrial policy: when ownership and domestic economic contribution point in different directions, which firms do citizens believe deserve public support?

This question has become increasingly important as governments around the world expand the use of industrial subsidies to promote strategic industries, technological competitiveness, and economic security (Aiginger and Rodrik, 2020; Naughton, 2021; Juhász, Lane, and Rodrik, 2024; Breznitz and Gingrich, 2025). In the United States, legislation such as the CHIPS and Science Act and the Inflation Reduction Act has committed unprecedented public resources to private firms in sectors ranging from semiconductors to clean energy (Muresianu, 2024). Yet many firms receiving these subsidies no longer fit neatly into conventional categories of “American” and “foreign.” A foreign-owned firm may employ thousands of American workers and source primarily from domestic suppliers, while an American-owned firm may rely heavily on overseas production and global supply chains (Bernard et al., 2007; Helpman, Melitz, and Yeaple, 2004; Gereffi, 2013). As globalization increasingly separates ownership from economic activity, ownership alone no longer identifies which firms contribute most to the domestic economy.

Governments frequently justify subsidies to foreign-owned firms by highlighting the domestic jobs, investment, and supply-chain linkages those firms create. Such arguments implicitly assume that visible domestic economic contributions can compensate for foreign ownership. Whether citizens evaluate firms using the same logic, however, remains unknown. Do citizens primarily reward domestic ownership, or do they place greater weight on a firm’s contribution to the domestic economy? More importantly, can domestic employment or domestic supply chains offset the political disadvantage associated with foreign ownership?

I argue that citizens rely on two highly visible cues when evaluating firms seeking industrial subsidies. The first is who owns the firm. Ownership provides a simple signal of who ultimately controls the company and who benefits from government support. The second is what the firm contributes to the domestic economy. Firms employing American workers and purchasing from American suppliers generate tangible domestic benefits that may indepen-

dently increase public support, even when they are foreign owned. The central theoretical question is whether these domestic contributions merely increase support on their own or whether they actually compensate for foreign ownership.

Existing research provides only partial answers. A large literature in international political economy demonstrates that both material interests and national identity shape public attitudes toward trade, foreign investment, and other forms of international economic integration (Mansfield and Mutz, 2009; DiGiuseppe and Kleinberg, 2018; Hainmueller and Hiscox, 2010; Rho and Tomz, 2017; Mutz, Mansfield, and Kim, 2020; Tingley et al., 2015; Kerner, 2014; Carnegie and Gaikwad, 2022; Menon and Osgood, 2024). A separate literature explains why governments allocate industrial subsidies and investment incentives to particular firms, industries, and regions (Jensen and Malesky, 2018; Jensen, Findley, and Nielson, 2020; Slattey, 2023, 2025; Bartik, 2019; Juhász, Lane, and Rodrik, 2024). These literatures, however, have largely developed independently. We know considerably about why governments subsidize particular firms and why citizens support or oppose globalization, but much less about how citizens evaluate the firms selected to receive industrial subsidies.

To answer this question, I conduct two preregistered survey experiments on nationally representative samples of U.S. adults recruited through YouGov. Both experiments employ a 2×2 factorial design that independently randomizes firm ownership together with a different dimension of domestic economic contribution. The first experiment varies ownership and workforce composition, while the second varies ownership and supplier origin. Together, the experiments identify the independent effects of ownership and domestic embeddedness on support for industrial subsidies and test whether domestic employment or domestic supply chains reduce the political penalty associated with foreign ownership.

The results reveal a more nuanced pattern than the compensatory logic implies. Domestic workforce composition and domestic supplier relationships are the strongest and most consistent predictors of public support for industrial subsidies. Foreign ownership exerts a smaller and more context-dependent penalty, operating primarily through perceptions of national alignment and among respondents with stronger nationalist orientations. Contrary to the compensatory logic developed in the theory, however, domestic employment and domestic supplier relationships do not substantially offset the political cost of foreign ownership. Rather than treating domestic embeddedness as a substitute for ownership, respondents appear to evaluate these characteristics largely independently.

This paper makes three contributions. First, it extends research on the politics of industrial policy by shifting attention from government allocation decisions to citizens' evaluations

of subsidy recipients. Second, it shows that citizens distinguish between firm ownership and domestic economic contribution but do not readily treat one as a substitute for the other, refining existing theories of how the public evaluates globally integrated firms. Finally, considered alongside the observational evidence presented elsewhere in the dissertation, the findings suggest that governments and citizens evaluate foreign firms differently. Governments appear willing to trade off foreign ownership against visible domestic economic contributions when allocating subsidies, whereas citizens reward domestic embeddedness without treating it as compensation for foreign ownership. This distinction helps explain why subsidy decisions that appear economically justified may nevertheless generate political opposition.

Theory

Industrial policy is often discussed as a strategy for promoting economic growth, technological competitiveness, or national security. In practice, however, industrial policy operates through decisions about individual firms. Governments do not subsidize industries as a whole; they subsidize specific firms through grants, tax incentives, loans, and other forms of financial support. Unlike broad economic policies such as tariffs or corporate tax cuts, industrial subsidies are inherently selective, providing concentrated benefits to a relatively small number of firms (Guilherme and Caiado, 2019; Rickard, 2018). Public support for industrial policy therefore depends not only on whether citizens favor government intervention in the economy, but also on whether they believe particular firms deserve public resources.

This distinction matters because it shapes how citizens are likely to think about industrial policy in practice. Citizens evaluating these policies are unlikely to judge government intervention in the abstract alone; they are also likely to evaluate the firms receiving government support and ask whether a particular subsidy recipient is an appropriate use of taxpayer money. Existing research provides only limited guidance for understanding these evaluations. A large literature in international political economy shows that public attitudes toward trade, immigration, and foreign direct investment are shaped by both material interests and national identity (Mansfield and Mutz, 2009; Hainmueller and Hiscox, 2010; DiGiuseppe and Kleinberg, 2018; Rho and Tomz, 2017; Mutz, Mansfield, and Kim, 2020). A separate literature examines why governments allocate subsidies and investment incentives across firms, industries, and regions (Jensen and Malesky, 2018; Slattery, 2023; Juhász, Lane, and Rodrik, 2024). These two literatures have largely developed independently: we know considerably about why governments choose particular subsidy recipients, but much

less about how citizens evaluate those same firms once they receive support.

Understanding these evaluations has become increasingly important because the firms receiving industrial subsidies are no longer easily classified as simply domestic or foreign. Global production has separated where firms are owned from where they employ workers, produce goods, and source intermediate inputs (Bernard et al., 2007; Helpman, Melitz, and Yeaple, 2004; Gereffi, 2013; Melitz, 2003). A foreign-owned firm may employ thousands of American workers and purchase most of its inputs from domestic suppliers, while an American-owned firm may rely heavily on overseas production and global supply chains. Ownership and domestic economic contribution no longer necessarily coincide, which makes it less obvious which characteristics citizens value when deciding whether public resources should support a particular company.

Recent political debates illustrate this tension. The Gotion controversy described above centered on the firm’s Chinese ownership even as the company promised thousands of local manufacturing jobs; ownership, not the promised economic benefits, ultimately proved politically decisive. Likewise, opposition to Nippon Steel’s proposed acquisition of U.S. Steel focused primarily on foreign ownership even though the company pledged to maintain domestic production and employment (Lynch, 2024). At the same time, state governments have frequently justified subsidies for foreign manufacturers such as Honda and BMW by emphasizing the jobs they create and their contributions to local economies (Behr, 1987; Williams, 2022; BMW Group, 2024; Printz, 2026), and discussions surrounding TSMC’s investment in Arizona have focused less on the firm’s foreign ownership than on whether it will strengthen domestic semiconductor production and create employment opportunities in the United States (Byung-soo, 2025; O’Marah, 2023; Hayashi and Jie, 2023). Together, these cases suggest that ownership and domestic economic contribution do not always point in the same direction, and that citizens do not evaluate firms using ownership alone.

These examples motivate the central argument of this paper. Citizens evaluating firms seeking industrial subsidies receive multiple pieces of information about potential recipients, but two characteristics are particularly visible and politically meaningful. The first is who owns the firm: ownership provides a simple and highly visible cue about who ultimately controls the company and who benefits from government support. The second is what the firm contributes to the domestic economy: firms that employ American workers or purchase from American suppliers generate visible economic benefits that may justify public investment regardless of ownership. These two considerations frequently reinforce one another, but they need not. When ownership and domestic economic contribution diverge, citizens must

decide which characteristic carries greater weight in determining whether a firm deserves government support.

Two Mechanisms

Citizens evaluating industrial subsidies face a difficult informational problem. Most people possess little detailed knowledge about firms seeking government support. They are unlikely to observe firms' financial conditions, production costs, or long-term investment plans, and they rarely have enough information to assess whether a subsidy is economically efficient. Instead, citizens are more likely to rely on visible characteristics that provide simple cues about whether a firm deserves public resources. Among the many characteristics a firm may possess, ownership and domestic economic contribution are particularly salient because they are easily understood and frequently emphasized in political debate (Kim and Osgood, 2019).

I argue that these two characteristics matter because they activate two distinct mechanisms. The first emphasizes the material benefits that industrial subsidies generate for the domestic economy. The second emphasizes symbolic attachments to national ownership. These mechanisms often produce similar evaluations when ownership and domestic economic contribution point in the same direction, but they lead to different expectations when the two diverge.

Material Benefits. The first mechanism is based on the material benefits that industrial subsidies generate for the domestic economy. Citizens may support government assistance when they believe subsidies create tangible economic gains through employment, production, or business opportunities within the United States. This logic is closely related to research showing that individuals evaluate international economic policies according to their expected economic consequences, particularly when those consequences affect jobs, wages, or local economic conditions (Hainmueller and Hiscox, 2010; Mansfield and Mutz, 2009; Owen and Johnston, 2017; Autor, Dorn, and Hanson, 2013; Kim and Margalit, 2016). Rather than viewing subsidies simply as transfers to private firms, citizens may view them as investments intended to sustain domestic economic activity.

Domestic employment provides perhaps the clearest signal of these material benefits. Firms employing large numbers of American workers create visible gains that extend beyond the firm itself through household income, local consumption, and regional economic development. Likewise, firms purchasing from American suppliers generate demand for domestic

production and support upstream industries (Patatoukas, 2012; Cohen and Li, 2020). In both cases, citizens may expect a larger share of government spending to remain within the domestic economy rather than flowing abroad.

Under this mechanism, ownership itself is informative only insofar as it signals expected economic benefits. Foreign-owned firms are not necessarily viewed unfavorably if they generate substantial domestic employment and investment. Conversely, American-owned firms may receive less support if their economic activities largely occur outside the United States. Material considerations therefore imply that citizens should reward firms that generate visible domestic economic benefits regardless of who ultimately owns the company.

National Identity. A second mechanism emphasizes national identity rather than material economic returns. Industrial subsidies are financed with public resources and are often justified as advancing national interests. Citizens may therefore evaluate recipient firms not only according to their economic contribution but also according to whether they are perceived to belong to the national community. Ownership provides a particularly visible signal of this distinction because it identifies who ultimately controls the firm and who benefits from government support (Hymer, 1960; Zaheer, 1995; Kim and Siegel, 2023).

Research on trade, foreign investment, and economic nationalism suggests that symbolic concerns frequently shape public attitudes toward international economic policies alongside material interests (Mansfield and Mutz, 2009; Mutz, Mansfield, and Kim, 2020; Powers, Reifler, and Scotto, 2021; Feng, Kerner, and Sumner, 2019; Bankert, Powers, and Sheagley, 2022; Chan and Meunier, 2021). Citizens often distinguish between domestic and foreign firms even when their economic activities appear similar because ownership carries symbolic meaning that extends beyond immediate economic outcomes. Subsidizing a domestically owned firm may therefore be viewed as supporting American businesses and strengthening the national economy, whereas subsidizing a foreign-owned firm may be perceived as directing taxpayer resources toward outsiders.

Unlike the material-benefit mechanism, national identity predicts that domestic employment or domestic suppliers only partially compensate for foreign ownership. Hiring American workers or purchasing from American suppliers demonstrates commitment to the domestic economy, but it does not change who ultimately owns or controls the firm. As a result, ownership remains the dominant cue because it defines whether the recipient is fundamentally perceived as an American or a foreign company.

These two mechanisms generate similar expectations when ownership and domestic eco-

conomic contribution reinforce one another. American-owned firms that employ American workers and purchase from domestic suppliers should receive the strongest public support, whereas foreign-owned firms relying primarily on foreign workers or overseas suppliers should receive the weakest support. The mechanisms differ, however, when ownership and domestic economic contribution point in different directions. The material-benefit mechanism predicts that visible domestic economic activity can substantially offset the disadvantages of foreign ownership. The national-identity mechanism instead predicts that ownership continues to play the dominant role because it determines who ultimately receives the benefits of government support. The hypotheses below distinguish between these competing expectations.

Theoretical Expectations for Public Support

The theory developed above suggests that citizens evaluate firms seeking industrial subsidies according to two broad considerations: who owns the firm and how much the firm contributes to the domestic economy. Ownership provides a visible cue about who ultimately controls the firm and who benefits from government support, whereas domestic economic contribution captures the extent to which a firm’s activities generate employment, production, and investment within the United States. I conceptualize domestic economic contribution along two dimensions: workforce composition and supplier relationships, and I develop hypotheses for each dimension in turn.

Ownership. Both the material-benefit and national-identity mechanisms imply that ownership should influence public support for industrial subsidies, although for different reasons. The material-benefit mechanism treats ownership as an imperfect signal of where the benefits of government support ultimately accrue, whereas the national-identity mechanism views ownership itself as an important criterion for determining whether a firm deserves public resources. Because ownership is highly visible and politically salient, I expect foreign-owned firms to receive less public support than otherwise comparable American-owned firms (Johns and Wellhausen, 2021).

Hypothesis 1. The public will be less supportive of providing subsidies to foreign-owned firms than to American-owned firms.

Workforce Composition. Workforce composition captures the most direct and visible contribution that firms make to the domestic economy. Firms employing primarily American workers generate employment, income, and local economic activity, whereas firms relying

primarily on foreign workers provide fewer direct benefits to the domestic labor market (Pandya, 2010; Lee and Liou, 2022).

Hypothesis 2. The public will be less supportive of providing subsidies to firms that employ primarily foreign workers than to firms that employ primarily American workers.

The central theoretical question is how citizens combine these two pieces of information when they conflict. One possibility is that domestic employment compensates for foreign ownership because it demonstrates tangible domestic benefits. Another is that ownership and domestic economic contribution influence evaluations independently, with respondents treating each characteristic as a distinct consideration. The experiments adjudicate between these competing possibilities.

The material-benefit mechanism predicts that a domestic workforce should partially offset the political disadvantage associated with foreign ownership because it demonstrates that government support generates tangible benefits for the domestic economy. The national-identity mechanism instead predicts that ownership remains the dominant consideration because domestic employment does not change who ultimately owns or controls the firm. I expect a domestic workforce to reduce, but not completely eliminate, the ownership penalty.

Hypothesis 3. The negative effect of foreign ownership on public support for subsidizing a firm will be smaller when the firm employs primarily American workers than when it employs primarily foreign workers.

This interaction implies two additional directional expectations that were preregistered and are tested separately. Among foreign-owned firms, employing American workers should increase public support relative to employing foreign workers. Among American-owned firms, employing foreign workers should reduce public support relative to employing American workers.

Hypothesis 4a. Among foreign-owned firms, employing primarily American workers will increase public support for subsidies relative to employing primarily foreign workers.

Hypothesis 4b. Among American-owned firms, employing primarily foreign workers will reduce public support for subsidies relative to employing primarily American workers.

Supplier Relationships. Supplier relationships represent a second dimension of domestic economic contribution. Firms purchasing primarily from American suppliers generate

demand for domestic production and support upstream industries, whereas firms relying primarily on foreign suppliers direct a larger share of economic activity abroad (Johns and Wellhausen, 2016).

Hypothesis 5. The public will be less supportive of providing subsidies to firms that source primarily from foreign suppliers than to firms that source primarily from American suppliers.

The same logic that applies to workforce composition applies to supplier relationships. If domestic sourcing provides visible evidence that a firm’s activities benefit the domestic economy, then relying on American suppliers should similarly reduce the ownership penalty.

Hypothesis 6. The negative effect of foreign ownership on public support for subsidizing a firm will be smaller when the firm sources primarily from American suppliers than when it sources primarily from foreign suppliers.

As with workforce composition, this interaction implies two preregistered directional expectations. Among foreign-owned firms, domestic sourcing should increase public support relative to foreign sourcing. Among American-owned firms, foreign sourcing should reduce public support relative to domestic sourcing.

Hypothesis 7a. Among foreign-owned firms, sourcing primarily from American suppliers will increase public support for subsidies relative to sourcing primarily from foreign suppliers.

Hypothesis 7b. Among American-owned firms, sourcing primarily from foreign suppliers will reduce public support for subsidies relative to sourcing primarily from American suppliers.

Table 1: Expected Ordering of Public Support

	American-owned	Foreign-owned
Domestic workforce / suppliers	1	2
Foreign workforce / suppliers	3	4

Note: Cell values give the predicted rank ordering of public support, from 1 (highest predicted support) to 4 (lowest). The ranking of the two off-diagonal, “mixed” cells relative to each other (domestic workforce/suppliers paired with foreign ownership, versus foreign workforce/suppliers paired with American ownership) is illustrative rather than a formal preregistered prediction; Hypotheses 3–4b and 6–7b establish the direction of each interaction but do not compare the two mixed conditions to one another directly.

Table 1 summarizes the expected ordering of public support across the experimental conditions. In both experiments, support should be highest for American-owned firms with domestic workers (Experiment 1) or domestic suppliers (Experiment 2), and lowest for foreign-owned firms with foreign workers or foreign suppliers. The key theoretical predictions concern the intermediate cases in which ownership and domestic economic contribution diverge. Specifically, firms employing primarily American workers or sourcing primarily from American suppliers are expected to receive greater support than otherwise comparable foreign-owned firms lacking these domestic ties, but less support than comparable American-owned firms. The interaction hypotheses therefore distinguish whether citizens place greater weight on firm ownership or on a firm’s contribution to the domestic economy when evaluating subsidy recipients.

Testing the Proposed Mechanisms

The theoretical expectations above establish whether ownership and domestic economic contribution shape public support for industrial subsidies. The survey also includes additional measures designed to explain why these treatment effects emerge. Specifically, I preregister three moderators and two mediators that distinguish between the two mechanisms proposed above. Unlike the confirmatory hypotheses, these analyses are not intended to establish additional treatment effects. Rather, they evaluate whether the observed effects operate through the material-benefit mechanism or the national-identity mechanism and therefore provide additional evidence regarding the processes underlying citizens’ evaluations of subsidy recipients.

Material-Benefit Mechanism.

If the effects of domestic workforce composition and supplier relationships are driven by material considerations, they should be strongest among respondents with greater personal exposure to industrial labor markets. Individuals employed in blue-collar occupations have a more direct stake in manufacturing employment and industrial production than white-collar workers and therefore should place greater weight on domestic employment when evaluating subsidy recipients.

Moderator 1. The positive effect of a domestic workforce on support for subsidies will be greater among blue-collar workers than among white-collar workers.

A similar expectation applies to labor-force participation. Individuals who are currently employed or actively seeking work have a more direct material interest in policies that sustain

domestic employment than retirees or those outside the labor force. Consequently, workforce composition should have a weaker effect among economically inactive respondents.

Moderator 2. The positive effect of a domestic workforce on support for subsidies will be weaker among retirees and economically inactive individuals than among active workers.

The material-benefit mechanism also implies a specific psychological pathway. Domestic workforce composition should increase support because respondents perceive subsidies as creating or preserving jobs for American workers. If this mechanism is correct, perceptions that industrial policy promotes domestic employment should mediate the relationship between workforce composition and support for industrial subsidies.

Mediator 1. The effect of domestic workforce composition on support for industrial subsidies is mediated by increased perceptions that U.S. industrial policy creates and preserves jobs for American workers.

National-Identity Mechanism.

If ownership effects instead reflect symbolic attachments to the national community, they should be strongest among respondents with stronger nationalist orientations. Individuals expressing greater national pride and stronger beliefs in American superiority should place greater weight on ownership when evaluating subsidy recipients because ownership identifies who ultimately controls the firm and who benefits from government support.

Moderator 3. The ownership premium for domestically owned firms will be larger among individuals with stronger nationalist orientations than among those with weaker nationalist orientations.

The national-identity mechanism likewise implies a distinct psychological pathway. Domestic ownership should increase support because it reinforces perceptions that subsidizing the firm advances American interests, protects national sovereignty, and reflects core national values. If these symbolic considerations drive public evaluations, they should mediate the relationship between ownership and subsidy support.

Mediator 2. The effect of domestic ownership on support for industrial subsidies is mediated by increased perceptions that subsidizing the firm advances American values, safeguards U.S. sovereignty, and promotes national interests.

Together, these moderators and mediators complement the confirmatory hypotheses by distinguishing between the two mechanisms developed in the theory. Stronger workforce effects among respondents with greater labor-market exposure, together with mediation through perceived job creation, would provide evidence for the material-benefit mechanism. Stronger ownership effects among highly nationalistic respondents, together with mediation through perceived protection of national interests, would instead support the national-identity mechanism. These analyses therefore move beyond identifying whether ownership and domestic economic contribution influence public support to explaining why those effects emerge.

Experimental Study

The observational analysis shows that foreign-owned firms receive fewer subsidies, but that this disadvantage is substantially reduced when firms employ more U.S. workers. The survey experiment examines whether these patterns reflect public preferences. Specifically, it tests whether Americans evaluate firms based only on ownership, or whether visible domestic economic contributions, such as employing American workers or sourcing from U.S. suppliers, increase support for industrial subsidies.

To examine these questions, I field two preregistered survey experiments using nationally representative samples of U.S. adults recruited through YouGov. Both experiments employ a 2×2 between-subjects design. A pilot study was conducted prior to the confirmatory study to refine the survey instrument, and pilot responses are excluded from the analyses presented here.

In both experiments, respondents read a vignette describing a manufacturing firm applying for federal subsidies under a national industrial policy program. The firm’s industry, revenue, and requested subsidy amount remain constant across conditions, while key firm characteristics are varied. The first experiment varies ownership and workforce composition, and the second varies ownership and supplier origin. After reading the vignette, respondents report their support for providing subsidies and evaluate the firm’s contribution to the U.S. economy and its alignment with American values.

Experiment 1: Ownership and Workforce Composition

The first experiment varies two firm characteristics: ownership (U.S.- versus foreign-owned) and workforce composition (predominantly U.S. versus predominantly foreign workers). This

Table 2: Experimental Conditions (Two 2×2 designs)

Dimension	Level 1	Level 2
Ownership	U.S.-owned and headquartered in the United States.	Foreign-owned and headquartered outside the United States.
Employment	High U.S. employment: 2,000 U.S. workers (80% U.S. workforce).	Low U.S. employment: 500 U.S. workers (20% U.S. workforce).
Supplier Origin	U.S. suppliers (80% inputs sourced from American suppliers).	Foreign suppliers (80% inputs sourced from foreign suppliers).
Constant	Production: The company is a manufacturer of computer chip fabrication equipment. Its annual revenues are \$80 million. Requested Subsidy Amount: The company is applying for \$15 million in government subsidies.	

design tests whether domestic employment increases support for industrial subsidies and whether employing American workers reduces any penalty associated with foreign ownership.

Respondents are randomly assigned to one of four firm profiles that differ only in these two characteristics. After reading the vignette, they indicate their level of support for subsidizing the firm and evaluate its contribution to the U.S. economy and its alignment with American values. These outcomes allow me to assess both overall treatment effects and the mechanisms proposed in the theoretical framework. The vignette below illustrates the baseline (American-owned, domestic-workforce) condition; the remaining three conditions are constructed by independently substituting the foreign-ownership and foreign-workforce language shown in Table 2.

Sample Vignette: The U.S. government provides loans and grants to support manufacturing companies as part of a national industrial policy program. Inline Corporation, a manufacturer of computer chip fabrication equipment, is one company under consideration for this support. Inline is owned by an American parent company and is headquartered in the United States. The company employs 2,000 workers in the United States, which represents over 80% of its total workforce. It is applying for \$15 million in government grants and loans. Inline’s annual revenues are approximately \$80 million.

Experiment 2: Ownership and Supplier Origin

The second experiment follows the same design but replaces workforce composition with supplier origin. Firms vary in ownership and in whether they source most of their inputs from domestic or foreign suppliers. This design examines whether domestic supply-chain linkages increase support for industrial subsidies and whether they offset any disadvantage associated with foreign ownership.

Respondents evaluate the firms using the same outcome measures as in Experiment 1, allowing direct comparison between labor-based and supplier-based forms of domestic embeddedness. As in Experiment 1, the vignette below illustrates the baseline (American-owned, domestic-supplier) condition, so that the two experiments are directly comparable; the remaining three conditions substitute the foreign-ownership and foreign-supplier language shown in Table 2.

Sample Vignette: The U.S. government provides loans and grants to support manufacturing companies as part of a national industrial policy program. Inline Corporation, a manufacturer of computer chip fabrication equipment, is one company under consideration for this support. Inline is owned by an American parent company and is headquartered in the United States. The company sources over 80% of its components and raw materials from suppliers based in the United States. It is applying for \$15 million in government grants and loans. Inline’s annual revenues are approximately \$80 million.

Immediately after reading the vignette, respondents rate their support for subsidizing the firm on a 5-point scale (1 = not at all supportive; 5 = strongly supportive). They also evaluate the firm’s contribution to the U.S. economy and its alignment with American values.

Measurement of Moderators and Mediators

To examine the conditional predictions developed in the theory section, the survey measures respondents’ employment status, occupation, and nationalist orientation before the experimental vignette. Employment status distinguishes respondents who are currently active in the labor market from those who are retired or otherwise economically inactive. Occupation differentiates blue-collar from white-collar workers, allowing me to assess whether individuals who are more directly exposed to labor market competition respond differently to firm characteristics. Nationalist orientation is measured using questions capturing national pride

and perceptions of American superiority, providing an indicator of respondents’ attachment to national identity.

Following the vignette, respondents complete measures designed to capture the two mechanisms proposed in the theoretical framework. The first assesses perceived economic contribution by asking the extent to which the firm is viewed as creating or sustaining jobs for American workers. The second measures perceived alignment with national goals by asking whether subsidizing the firm is seen as consistent with American values, protecting U.S. sovereignty, and advancing the country’s broader national interests.

Together, these measures allow me to examine whether the effects of ownership and domestic embeddedness vary across respondents with different economic and national identity predispositions, and whether changes in perceived economic contribution and national alignment help explain support for industrial subsidies.

Outcome Measures

The primary outcome is support for subsidizing the firm. After reading the vignette, respondents indicate the extent to which they support the U.S. government providing a subsidy to the company on a five-point scale ranging from 1 (*not at all supportive*) to 5 (*strongly supportive*).

The survey also includes two secondary outcomes that correspond to the proposed mechanisms. The first measures perceived economic contribution by asking how much the firm contributes to creating or sustaining jobs for American workers. The second measures perceived alignment with national goals by asking whether subsidizing the firm is viewed as consistent with American values, protecting U.S. sovereignty, and advancing core national goals.

These measures allow me to evaluate not only whether ownership and domestic embeddedness affect public support for industrial subsidies, but also whether these effects operate through perceptions of economic contribution and national alignment.

Sample and Data Collection

The experiments are administered to nationally representative samples of U.S. adults recruited through YouGov. The confirmatory study targets approximately 2,000 respondents for each experiment (4,000 respondents in total), providing roughly equal numbers of respondents across the four conditions of each 2×2 design. YouGov poststratification weights

are applied in all analyses to improve representativeness of the U.S. adult population. Only respondents who complete the survey are included in the final sample.

Analytical Strategy

The preregistered analyses estimate the effects of ownership, workforce composition, and supplier origin on support for industrial subsidies using survey-weighted OLS with YouGov poststratification weights and heteroskedasticity-robust standard errors. The primary outcome is support for providing a subsidy, measured on the five-point scale described above.

The confirmatory analyses proceed in three steps. First, I estimate the overall effect of foreign ownership by pooling respondents across the two experiments and including an indicator for the experimental design. Second, within each experiment, I estimate the main effects of domestic embeddedness (workforce composition in Experiment 1 and supplier origin in Experiment 2) and test whether these characteristics moderate the effect of ownership through interaction models. Finally, I estimate the effects of domestic embeddedness separately for U.S.-owned and foreign-owned firms to evaluate whether these relationships differ across ownership groups.

The moderation and mediation analyses described above are exploratory. These analyses examine whether treatment effects vary by respondents' employment status, occupation, and nationalist orientation, and whether the effects of the experimental treatments operate through perceived economic contribution and perceived alignment with national goals. Additional exploratory analyses examine heterogeneity across respondent characteristics such as partisanship, education, and employment sector.

Results

Main Effects of Ownership, Workforce, and Supplier Origin

Pooling respondents across the two experiments, foreign ownership reduces subsidy support by 0.165 points on the five-point scale ($SE = 0.037$, $p < .001$). This pooled estimate supports Hypothesis 1, but the experiment-specific results show that the ownership penalty is context-dependent.

Table 4 and Figure 1 report the preregistered experiment-specific main-effect models. In Experiment 2, foreign-owned firms receive roughly a quarter-point lower rating relative to American-owned firms ($b = -0.264$, $p < .001$), a pattern that is stable across the weighted,

Table 3: Pooled Effect of Foreign Ownership on Subsidy Support

	Subsidy support
Foreign firm	-0.165*** (0.037)
Experiment 2	0.047 (0.037)

Note: Survey-weighted OLS estimates using the pooled sample. Experiment 1 is the reference design. HC2 robust standard errors are shown in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

demographic-controls, and political-controls specifications. In Experiment 1, the comparable estimate is smaller in magnitude and not statistically distinguishable from zero ($b = -0.070$, $p > .10$). Thus, although the pooled analysis supports H1, the experiment-specific estimates indicate that the ownership penalty is concentrated in the supplier-origin design. The ownership penalty documented in the observational analysis does not manifest as a robust, stand-alone effect when workforce composition is the co-randomized attribute.

Table 4: Effects of foreign ownership, worker, and supplier (weighted models)

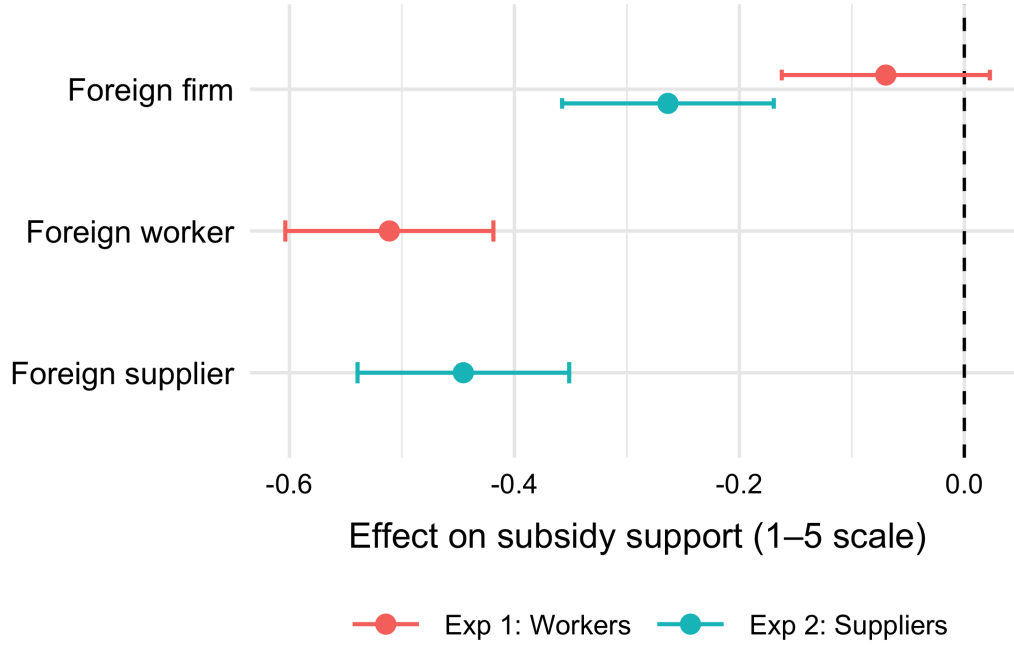
	Experiment 1			Experiment 2		
	Weighted	+Controls	+Political	Weighted	+Controls	+Political
Foreign firm	-0.070 (0.052)	-0.065 (0.052)	-0.064 (0.052)	-0.264*** (0.052)	-0.274*** (0.051)	-0.282*** (0.051)
Foreign worker	-0.511*** (0.052)	-0.515*** (0.052)	-0.513*** (0.051)			
Foreign supplier				-0.445*** (0.052)	-0.442*** (0.051)	-0.436*** (0.051)

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Standard errors (heteroskedasticity-robust, HC2) shown in parentheses below each estimate. All models are survey-weighted; +Controls adds demographic controls; +Political adds political covariates.

Workforce and supplier composition, by contrast, produce large and highly significant effects in both experiments. Firms that employ primarily foreign workers receive roughly half a point less support than firms employing primarily American workers ($b = -0.511$, $p < .001$), consistent with Hypothesis 2. Firms that source primarily from foreign suppliers likewise receive substantially less support than firms sourcing domestically ($b = -0.445$,

Figure 1: Estimated effects of foreign ownership, workers, and suppliers



Note: Points represent OLS coefficient estimates from the preregistered experimental models; horizontal bars indicate 95% confidence intervals. Estimates are relative to the domestic baseline condition. Experiment 1 manipulates firm ownership and workforce nationality, while Experiment 2 manipulates firm ownership and supplier nationality. The outcome is support for providing government subsidies to the firm, measured on a five-point scale.

$p < .001$), consistent with Hypothesis 5. These effects are two to six times larger than the corresponding ownership effects, and they are robust to the inclusion of demographic and political covariates. In both experiments, then, domestic economic contribution is a stronger and more consistent predictor of public support than firm ownership per se.

Does Domestic Embeddedness Offset the Ownership Penalty?

Hypotheses 3 and 6 predict that a domestic workforce or domestic supplier base should attenuate the negative effect of foreign ownership. Table 5 tests this directly. In both experiments, however, the interaction estimates are substantively small and statistically indistinguishable from zero. In Experiment 1, the Foreign Firm $\times$ Foreign Worker interaction is positive but modest ($b = 0.088$, $p > .10$), suggesting little evidence that employing American workers meaningfully reduces the ownership penalty. In Experiment 2, the corresponding interaction is likewise small ($b = -0.064$, $p > .10$) and, if anything, points in the opposite direction. Overall, the results provide little evidence that domestic embeddedness substantially offsets

the political cost of foreign ownership.

The subgroup analyses in Table 6 reinforce this conclusion. The penalty for employing foreign (rather than American) workers is large and statistically significant among both American-owned firms ($b = -0.550$, $p < .001$) and foreign-owned firms ($b = -0.477$, $p < .001$), consistent with Hypotheses 4a and 4b, but the two effects are very similar in magnitude. The same pattern emerges for supplier origin: firms relying on foreign suppliers receive significantly less support regardless of ownership ($b = -0.401$ for American-owned firms and $b = -0.456$ for foreign-owned firms; both $p < .001$), providing support for Hypotheses 7a and 7b without indicating meaningful differences across ownership groups.

Reading across the complementary comparisons leads to the same conclusion. In Experiment 1, the ownership penalty remains small and statistically insignificant whether firms employ primarily American workers ($b = -0.114$) or foreign workers ($b = -0.019$). In Experiment 2, foreign ownership reduces support under both supplier conditions and is, if anything, somewhat larger among firms relying on foreign suppliers ($b = -0.325$) than among those sourcing domestically ($b = -0.248$). Taken together, these findings suggest that respondents evaluate ownership and domestic economic contribution largely additively rather than compensatorily. Domestic employment and domestic sourcing substantially increase support in their own right, but they do not meaningfully diminish concerns associated with foreign ownership.

Table 5: Models with interaction terms (weighted models)

	Experiment 1			Experiment 2		
	Weighted	+Controls	+Political	Weighted	+Controls	+Political
Foreign firm	-0.113 (0.074)	-0.109 (0.074)	-0.105 (0.074)	-0.232** (0.072)	-0.244*** (0.072)	-0.247*** (0.072)
Foreign worker	-0.554*** (0.072)	-0.559*** (0.072)	-0.555*** (0.072)			
Foreign firm $\times$ Foreign worker	0.088 (0.103)	0.089 (0.103)	0.083 (0.103)			
Foreign supplier				-0.413*** (0.072)	-0.412*** (0.072)	-0.400*** (0.072)
Foreign firm $\times$ Foreign supplier				-0.064 (0.104)	-0.060 (0.103)	-0.071 (0.103)

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Standard errors (heteroskedasticity-robust, HC2) shown in parentheses below each estimate.

All models are survey-weighted; +Controls adds demographic controls; +Political adds political covariates.

Table 6: Conditional effects of each factor - subgroup analysis

	Among domestic-owned firms	Among foreign-owned firms
Effect of foreign workers (vs. US workers)	-0.550***	-0.477***
Effect of foreign suppliers (vs. US suppliers)	-0.401***	-0.456***
	Domestic workforce	Foreign workforce
Effect of foreign firms (vs. US firms) ^a	-0.114	-0.019
	Domestic supplier	Foreign supplier
Effect of foreign firms (vs. US firms) ^b	-0.248***	-0.325***

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$. This table reports conditional treatment effects estimated from linear models with interactions between firm ownership and worker nationality (Experiment 1) or supplier nationality (Experiment 2).

^a Effects evaluated separately among respondents assigned a domestic workforce and a foreign workforce.

^b Effects evaluated separately among respondents assigned a domestic supplier and a foreign supplier.

Evaluative Channels: Economic Contribution and National Alignment

Table 7 examines how the experimental treatments shape perceived economic contribution and national alignment. Because these outcomes were measured after treatment, I interpret them as evidence about the evaluative channels activated by the firm characteristics rather than as definitive causal mediation estimates.

Foreign ownership reduces perceived national alignment in both experiments ($b = -0.148$, $p < .01$ in Experiment 1; $b = -0.244$, $p < .001$ in Experiment 2). Its effect on perceived economic contribution is smaller and statistically insignificant in Experiment 1 ($b = -0.049$, $p > .10$), although it is negative and significant in Experiment 2 ($b = -0.178$, $p < .001$). Ownership therefore shapes national evaluations more consistently than perceptions of economic contribution.

Workforce and supplier origin, by contrast, shape both evaluations. A foreign workforce reduces perceived economic contribution by 0.260 points and perceived national alignment by 0.423 points (both $p < .001$). Foreign sourcing similarly reduces perceived economic contribution by 0.273 points and national alignment by 0.218 points (both $p < .001$). These patterns are consistent with the theoretical distinction motivating Mediator 1 and Mediator 2: ownership primarily provides information about who controls the firm and whose interests it serves, whereas workforce and supplier relationships provide information about

both domestic economic benefits and national alignment. This helps explain why workforce and supplier origin produce larger and more consistent effects on subsidy support.

Table 7: Effects on perceived economic contribution and national alignment

	Experiment 1		Experiment 2	
	Economic contribution	National alignment	Economic contribution	National alignment
Foreign firm	-0.049 (0.047)	-0.148** (0.046)	-0.178*** (0.045)	-0.244*** (0.048)
Foreign worker	-0.260*** (0.047)	-0.423*** (0.046)		
Foreign supplier			-0.273*** (0.045)	-0.218*** (0.048)

Survey-weighted OLS estimates with demographic and political covariates. Standard errors (heteroskedasticity-robust, HC2) are shown in parentheses. Econ. and N. Align refer to the post-treatment measures of perceived economic contribution and national alignment, respectively. + $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Heterogeneity by Moderators

The appendix Tables A1, A2, Figures A1 and A2 report heterogeneity in treatment effects across the preregistered and exploratory moderators. These analyses are exploratory and should be interpreted cautiously. Consistent with the national-identity mechanism, national superiority, national priority, and conservative ideology are generally associated with larger ownership penalties, particularly in the supplier-origin experiment. For example, respondents who agree more strongly that the world would be better if other countries were more like the United States penalize foreign-owned firms more heavily in Experiment 2 (Foreign Firm $\times$ National Superiority: $b = -0.082$, $p < .05$). A parallel pattern appears for ideology, with more conservative respondents applying a larger ownership penalty ($b = -0.111$, $p < .05$). These moderators do not consistently condition the ownership effect in the workforce experiment, where the ownership main effect is itself close to zero.

The evidence for labor-market self-interest is mixed. Blue-collar occupation significantly moderates the foreign-worker penalty in Experiment 1 (Blue-collar $\times$ Foreign Worker: $b = 0.286$, $p < .01$), but in the direction opposite to the preregistered expectation: blue-collar respondents penalize firms employing foreign workers *less*, not more, than white-collar

respondents. Blue-collar status does not meaningfully moderate either treatment in Experiment 2. Partisan differences also appear in the workforce experiment. The estimated ownership penalty is larger among Republicans and independents than among Democrats; the independent estimate is negative and significant ($b = -0.174$, $p < .05$), and the difference between Democrats and independents is statistically significant ($b = 0.312$, $p < .01$).

Figures A1 and A2 illustrate these patterns. The ownership effect (Figure A1) hovers near zero across most moderator values in the workforce experiment while widening with nationalism and conservatism in the supplier-origin experiment. The workforce and supplier penalties (Figure A2) remain large and negative across nearly every subgroup examined. Overall, responses to foreign ownership vary more consistently with nationalism and political orientation, whereas negative reactions to foreign workers and suppliers are broadly shared across groups.

Overall, the results indicate that both domestic economic contribution and ownership shape public evaluations, but in different ways. Domestic workforce and supplier relationships exert large, consistent effects regardless of ownership, whereas ownership has a smaller and more conditional influence that operates primarily through perceived national alignment. Contrary to the compensatory logic proposed in the theory, however, domestic embeddedness does not substantially reduce the ownership penalty. Instead, respondents appear to evaluate ownership and domestic economic contribution largely independently.

Conclusion

This paper examined how citizens evaluate firms seeking industrial subsidies when ownership and domestic economic contribution no longer coincide. Existing research has largely examined why governments allocate subsidies to particular firms or how citizens evaluate globalization more broadly, but has paid far less attention to how the public evaluates the firms selected to receive industrial support. I argued that citizens rely on two visible cues when evaluating subsidy recipients: who owns the firm and what the firm contributes to the domestic economy. While the theory suggested that domestic economic contributions might partially offset the political disadvantage associated with foreign ownership, the experiments reveal a more nuanced pattern.

Across two preregistered survey experiments, domestic workforce composition and domestic supplier relationships emerge as the strongest predictors of public support for industrial subsidies. Firms employing American workers or purchasing from American suppliers con-

sistently receive substantially greater support regardless of ownership. Foreign ownership, by contrast, exerts a smaller and more context-dependent effect. It reduces support most clearly when paired with information about supplier origin, operates primarily through perceptions of national alignment rather than economic contribution, and is concentrated among respondents with stronger nationalist and conservative predispositions.

Perhaps the most important finding is what the experiments do not show. Contrary to the strongest implication of the compensatory logic developed in the theory, domestic employment and domestic supplier relationships do not substantially offset the political cost of foreign ownership. Rather than treating domestic embeddedness as a substitute for domestic ownership, respondents appear to evaluate these characteristics largely independently. Domestic employment and domestic sourcing increase support in their own right, but they do not meaningfully erase concerns associated with foreign ownership.

This finding provides an important point of comparison with the observational evidence presented earlier in the dissertation. The observational analysis suggests that governments are willing to trade off foreign ownership against visible domestic economic contributions, particularly domestic employment, when allocating industrial subsidies. The experimental evidence indicates that citizens do not appear to make the same tradeoff. Instead, they reward domestic embeddedness regardless of ownership while continuing to evaluate ownership separately. Governments and citizens therefore appear to weigh firm foreignness differently, highlighting a potential source of tension between subsidy allocation decisions and the political coalitions needed to sustain industrial policy over time.

The findings also refine our understanding of the mechanisms underlying public support for industrial policy. The results provide evidence that both material and symbolic considerations shape citizens' evaluations, but in different ways. Domestic workforce and supplier relationships increase perceived economic contribution while also strengthening perceptions that firms serve national interests. Foreign ownership, in contrast, primarily affects perceptions of national alignment. Rather than supporting one mechanism at the expense of the other, the results suggest that citizens simultaneously consider both a firm's economic activities and its symbolic relationship to the national community when evaluating subsidy recipients.

Several limitations point toward promising directions for future research. The experiments hold industry, firm size, and subsidy amount constant in order to isolate the effects of ownership and domestic embeddedness. Future work could examine whether these relationships differ in industries more directly associated with national security or strategic

competition, where ownership concerns may be especially salient. Likewise, the experiments examine workforce composition and supplier relationships separately. Because real firms vary simultaneously across multiple dimensions of domestic embeddedness, future research could investigate how citizens weigh these characteristics when they reinforce or contradict one another.

More broadly, the paper highlights an increasingly important political challenge for industrial policy. As globalization separates ownership from production, governments must justify subsidies to firms that are simultaneously foreign-owned and deeply embedded in domestic economies. These experiments suggest that citizens recognize and reward domestic economic contributions, but do not readily treat them as substitutes for domestic ownership. Understanding how citizens balance these competing considerations is therefore essential not only for explaining which firms governments choose to subsidize, but also for understanding which industrial policies remain politically sustainable in an increasingly globalized economy.

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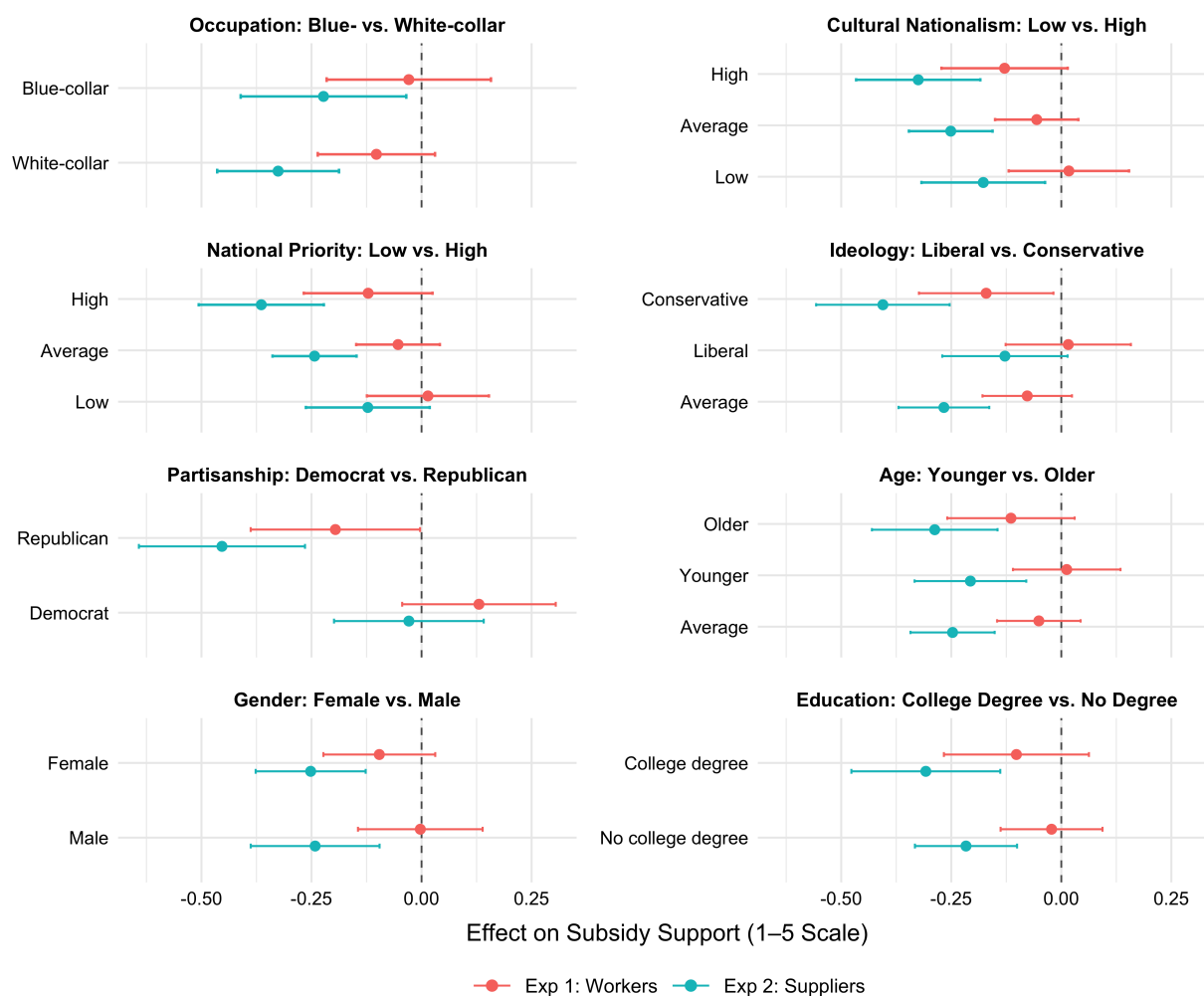
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Appendix A: Moderators / Heterogeneity tests

Figure A1: Heterogeneous Treatment Effects of Foreign Ownership



Note: Points show the estimated effect of foreign ownership on subsidy support across representative values of each moderator (binary moderators: 0/1; continuous moderators: mean $\pm$ 1 SD), with 95% confidence intervals (HC2-robust SEs). Filled points/thick intervals are primary theoretical moderators; hollow points/thin intervals are exploratory controls.

Table A1: Moderators of foreign firm and foreign worker effects (Experiment 1)

	x Blue-collar	x Nationalism	x Ideology	x Partisanship
Foreign firm	-0.053 (0.054)	-0.055 (0.047)	-0.073 (0.050)	-0.174* (0.082)
Blue-collar	-0.125 (0.099)			
Foreign worker	-0.599*** (0.054)	-0.526*** (0.047)	-0.562*** (0.050)	-0.554*** (0.081)
Foreign firm × Blue-collar	0.011 (0.109)			
Blue-collar × Foreign worker	0.286** (0.109)			
Nationalism		0.044 (0.036)		
Foreign firm × Nationalism		-0.057 (0.040)		
Nationalism × Foreign worker		-0.052 (0.040)		
Ideology			0.081* (0.039)	
Foreign firm × Ideology			-0.075+ (0.044)	
Ideology × Foreign worker			-0.087* (0.044)	
Democrat				-0.112 (0.103)
Republican				0.100 (0.107)
Foreign firm × Democrat				0.312** (0.120)
Foreign firm × Republican				0.010 (0.124)
Democrat × Foreign worker				0.130 (0.120)
Republican × Foreign worker				-0.104 (0.124)

+ p<0.1, * p<0.05, ** p<0.01, *** p<0.001.

Standard errors (heteroskedasticity-robust, HC2) shown in parentheses below each estimate.

Nationalism and ideology are mean-centered continuous moderators; the reference category for partisanship is Independent.

Table A2: Moderators of foreign firm and foreign supplier effects (Experiment 2)

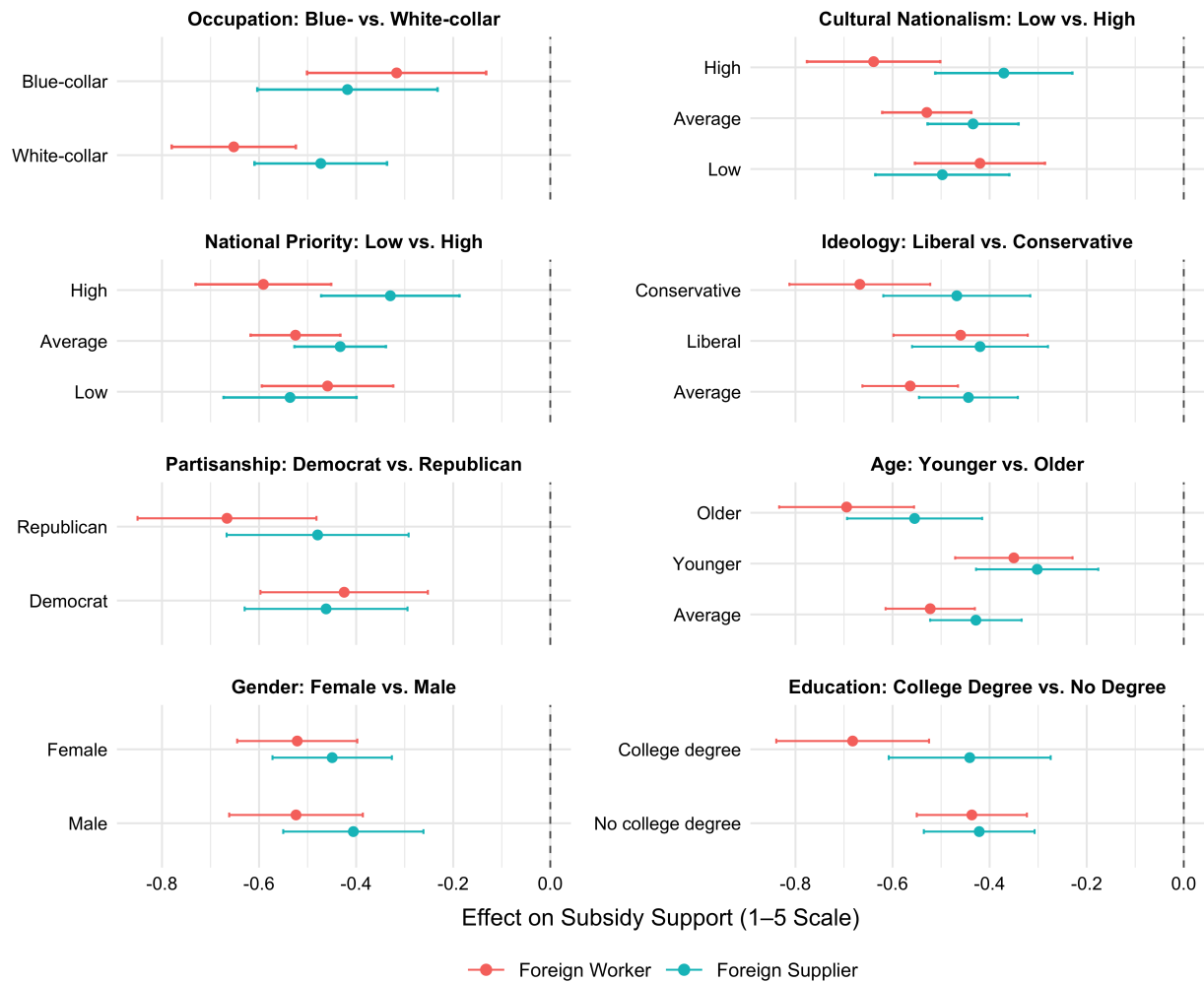
	x Blue-collar	x Nationalism	x Ideology	x Partisanship
Foreign firm	-0.261*** (0.055)	-0.249*** (0.048)	-0.274*** (0.051)	-0.268** (0.090)
Blue-collar	0.021 (0.098)			
Foreign supplier	-0.434*** (0.055)	-0.433*** (0.048)	-0.446*** (0.051)	-0.399*** (0.090)
Foreign firm $\times$ Blue-collar	0.032 (0.109)			
Blue-collar $\times$ Foreign supplier	0.010 (0.109)			
Nationalism		0.012 (0.036)		
Foreign firm $\times$ Nationalism		-0.082* (0.040)		
Nationalism $\times$ Foreign supplier		0.078+ (0.041)		
Ideology			0.116** (0.039)	
Foreign firm $\times$ Ideology			-0.111* (0.044)	
Ideology $\times$ Foreign supplier			-0.022 (0.044)	
Democrat				-0.012 (0.107)
Republican				0.336** (0.113)
Foreign firm $\times$ Democrat				0.212+ (0.123)
Foreign firm $\times$ Republican				-0.188 (0.130)
Democrat $\times$ Foreign supplier				-0.066 (0.124)
Republican $\times$ Foreign supplier				-0.070 (0.130)

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$.

Standard errors (heteroskedasticity-robust, HC2) shown in parentheses below each estimate.

Nationalism and ideology are mean-centered continuous moderators; the reference category for partisanship is Independent.

Figure A2: Heterogeneous Treatment Effects of Foreign Worker and Supplier Ties



Note: Points show the estimated effect of foreign worker ties (Experiment 1) and foreign supplier ties (Experiment 2) on subsidy support across representative values of each moderator, with 95% confidence intervals (HC2-robust SEs). Filled points/thick intervals are primary theoretical moderators; hollow points/thin intervals are exploratory controls.